

Business Responsibility Report

(Pursuant to Regulation 34(2)(f) of
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Introduction

JBM Auto Limited is rapidly evolving with agility, dynamism and rigor as we are vertically integrating and imbibing technology to introduce products and solutions that improve people's lives. Like, in the initial phase of our journey, the focus was towards simpler parts and components which transitioned to complex auto systems, assemblies and solutions i.e. from product based approach to experience & solution based approach. We focus on the TCO (Total Cost of Ownership) principle, wherein, the intent is driving optimum value and cost optimization from our products & solutions while constantly changing and upgrading our benchmarks.

The Company is one amongst the globally leading manufacturers in the automobile segment and continues to be India's one of the best automobile Company with a consolidated revenue of Rs. 3,193.05 crores in FY 2021-22. The Company believes in the core philosophy of 'Good Corporate Citizenship' staying committed to sustainability and the spirit of 'giving back to society'. The Company is present across all segments of the commercial and passenger vehicles, with a widespread through all over India offerings sales and services as well as having established spare parts network touch points.

The Business Responsibility Report highlights the approach of the Company towards creating long-term value for all its stakeholders. The Report is aligned with National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVG-SEE) released by Ministry of Corporate Affairs and is in accordance with Regulation 34(2)(f) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"). This Report provides an overview of the activities carried out by the Company under each of the nine principles outlined in NVG - SEE.

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company: L74899DL1996PLC083073
2. Name of the Company: JBM Auto Limited
3. Registered address: 601, Hemkunt Chambers, 89, Nehru Place, New Delhi - 110019, India
4. Website: www.jbmgroup.com
5. E-mail id: secretarial.jbma@jbmgroupp.com
6. Financial Year reported: 2021-22

7. Sector(s) that the Company is engaged in (industrial activity code-wise):

NIC Code	Name and Description of main products/ services
25910	Sheet Metal Components for Automobiles
28221	Tools & Dies for Automobiles
29109	Passenger Buses

8. List three key products/ services that the Company manufactures/ provides (as in balance sheet):

- a. CNG & Electric Buses and Services under Annual Maintenance Contract (AMC)
- b. Sheet Metal Components
- c. Tools & Dies

Please refer to our website www.jbmgroup.com for complete list of our products

9. Total number of locations where business activity is undertaken by the Company:

a.	Number of International Locations	Nil
b.	Number of National Locations	The Company manufacturing locations in India are situated at Faridabad (Haryana), Pune & Nasik (Maharashtra), Chengalpattu (Tamilnadu), Indore (Madhya Pradesh), Sanand (Gujarat), Pathredi (Rajasthan), Greater Noida & Kosi (Uttar Pradesh).

10. Markets served by the Company – Local/ State/ National/ International:

Asia (including all over India), Europe.

Section B: Financial Details of the Company

1. Paid up Capital: Rs. 23.64 Crores.
2. Total Turnover: Rs. 3,168.16 Crores (This is standalone figure)
3. Total profit after taxes: Rs. 156.93 Crores (This is standalone figure)
4. Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): Total expenditure reported is Rs. 2.29 Crores, which is more than 2% of average profit of previous three financial years of the Company.
5. Details of activities in which expenditure in 4 above has been incurred: Employment Enhancing Vocational Skill Development in the area of fabrication, production & manufacturing.

Section C: Other Details

1. Does the Company have any Subsidiary Company/ Companies?
The Company has Nine (9) subsidiaries in India as on 31st March, 2022.
2. Do the Subsidiary Companies participate in the BR Initiatives of the Parent Company? If yes, then indicate the number of such subsidiary company(s)?
The subsidiary companies are not required to comply with the Business Responsibility initiatives as per the laws applicable to them.
3. Do any other entity/ entities (e.g. suppliers, distributors etc.) that the Company does business with participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/ entities? [Less than 30%, 30-60%, More than 60%]
No, BR initiatives of the Company are limited to its own operations. However, stakeholders are encouraged to participate in the Company's BR initiatives being a responsible business.

Section D: BR Information

1. Details of Director/ Directors responsible for BR

- a. Details of the Director/ Directors responsible for implementation of the BR policy/ policies.

Sr. No.	Particulars	Details
1.	DIN Number (if applicable)	07186909
2.	Name	Mr. Sandip Sanyal
3.	Designation	Whole Time Director

- b. Details of the BR head

Sr. No.	Particulars	Details
1.	DIN Number (if applicable)	06887452
2.	Name	Mr. Vivek Gupta
3.	Designation	Chief Financial Officer & Company Secretary
4.	Telephone	+91 129 4090200
5.	E-mail id	vivek.gupta@jbmgroupp.com

2. a) Principle-wise (as per NVGs) BR Policy/ policies (Reply in Y/ N)

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVG-SEE) released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These are as follows:

P1 -	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
P2 -	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
P3 -	Businesses should promote the well-being of all employees.
P4 -	Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P5 -	Businesses should respect and promote human rights.
P6 -	Businesses should respect, protect and make efforts to restore the environment.
P7 -	Businesses when engaged in influencing public and regulatory policy, should do so in a responsible manner.
P8 -	Businesses should support inclusive growth and equitable development.
P9 -	Businesses should engage with and provide value to their customers and consumers in a responsible manner.

Sr. No.	Questions	P1	P2	P3	P4	P5*	P6	P7**	P8	P9
1.	Do you have policy/ policies for?	Yes								
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Yes								
3.	Does the policy conform to any national/ international standards?	Yes								
4.	Has the policy being approved by the Board? If yes, has it been signed By MD/ owner/ CEO/ appropriate Board Director?	Yes								
5.	Does the Company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	Yes								
6.	Indicate the link for the policy to be viewed online?	www.jbmgroup.com								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes								
8.	Does the Company have in-house structure to implement the policy/ policies?	Yes								
9.	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Yes								
10.	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	Yes								

*The Company does not have a standalone Human Rights policy. Aspects of human rights, such as child labour, occupational health and safety and non-discrimination are covered in its various Human Resource policies.

**The Company does not have a standalone advocacy policy. For advocacy on policies related to the automobile industry, the Company engages with industry associations in which Company is a member and expert agencies, as required

b) If answer to the question at serial number 1 against any principle, is 'No', please explain why: (Tick up to 2 options): Not Applicable

3. Governance related to Business Responsibility

- Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assess the BR performance of the Company. Within 3 months, 3 to 6 months, annually, more than 1 year

Regular monitoring is being done of BR initiatives and complete assessment is done on need basis and annually.

- Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

This report is being published in the Annual Report of FY22 and also available on the website of the Company at www.jbmgroup.com.

Section E: Principle-wise performance

Principle 1: Ethics, Transparency and Accountability

- Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/ No. Does it extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

No, the Company has articulated a comprehensive code of conduct, which is applicable to the Group, as a whole.

- How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management? If so, provide details thereof, in about 50 words or so.

No Complaints were received from any stakeholder in the last Financial Year relating to Ethics, Transparency and accountability.

Principle 2: Product Life Cycle Sustainability

- List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/ or opportunities.

The Company is engaged in the manufacturing of Sheet Metal Components, Tool Room Components and Passenger Buses. These products have insignificant social or environmental concern or risk.

- For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

The Company always take efforts for optimum utilization of natural resources.

- Reduction during sourcing/ production/ distribution achieved since the previous year throughout the value chain?

Not Applicable.

- Reduction during usage by consumers (energy, water) has been achieved since the previous year?

The Company continuously monitors its process with respect to usage of raw material and other natural resources in terms of sales. The optimized design and technology resulted in saving of natural resources.

- Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably?

Yes, the Company has an environment policy and safety policy. We encourage our vendors to ensure compliance with these policies. It covers various issues like health of workers and safety measures.

- Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes, the Company keeps on developing local vendors: visit their facilities, analyze quality related aspects, and create action plans jointly with the suppliers, customers and monitored performance.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%). Also, provide details thereof, in about 50 words or so.

Considering the nature of business there are no significant emissions or process wastes. The Company recycle materials wherever it is usable within the Company which cannot be reused is disposed off in a manner in compliance with applicable statutory provisions.

Principle 3: Employee Wellbeing

Sr. No.	Particulars	Number of Employees
1.	Total number of permanent employees	2063
2.	Total number of employees hired on temporary/ contractual/ casual basis	10062
3.	Number of permanent women employees	18
4.	Number of permanent employees with disabilities	4
5.	Employee association that is recognized by management? (if any)	3
6.	Percentage of your permanent employees is members of this recognized employee association?	20.5%

7. Please indicate the Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

Sr. No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1.	Child labour/ forced labour/ involuntary labour	Nil	Nil
2.	Sexual harassment	Nil	Nil
3.	Discriminatory employment	Nil	Nil

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year

a. Permanent Employees	Safety is of paramount importance to the Company. All employees in the Company are provided with safety training as part of their induction programme. The safety induction programme is also a compulsory requirement for contract workforce before they are inducted into the system. The Company has a structured safety training agenda on an on-going basis to build a culture of safety across its workforce.
b. Permanent Women Employees	
c. Casual/ Temporary/ Contractual Employees	
d. Employees with Disabilities	

Principle 4: Stakeholder Engagement

1. Has the Company mapped its internal and external stakeholders?
- Yes.
2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders?
- Yes
3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.
- The Company carries out various CSR initiatives for the upliftment/ growth & development of people living in the villages around its manufacturing facilities.

Principle 5: Human Rights

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

The Company has adopted Code of Conduct & Ethics and Whistle Blower Policy along with Business Responsibility Policies. These policies are applicable to the Directors and employees of the Company, the underline principles are communicated to vendors, suppliers, distributors and other key business associates of the Company, which they are expected to adhere while dealing with the Company. The Company encourages its suppliers, vendors, contractors and other business partners associated to follow the principles laid out in Code of Conduct.

2. How many stakeholder complaints have been received in the past financial year and what percent was satisfactorily resolved by the management?

During the FY22, the Company has not received any complaint from any stakeholders except certain requests for non-receipt of dividend, issue of duplicate share certificate(s) etc. and the same were satisfactorily closed which were provided to the satisfaction of the stakeholders.

However, during the FY22, 18 investor complaints received for non-receipt of dividend, issue of duplicate share certificate(s), update of shareholder details and all complaints were satisfactorily closed.

Principle 6: Environmental

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ others.

The Company continuously makes efforts to safeguard the environment. Steps are taken for optimal utilization of our resources. The Company's environmental policy extend to its suppliers and all other stakeholders.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage etc.

Over the years there have been various initiatives undertaken to address global environmental issues. The emissions or waste generated by the Company are within the permissible limits specified by the Central Pollution Control Board (CPCB) and State Pollution Control Board (SPCB). The Business responsibility policy of the Company specifies its approach towards protection of environment, the policy is applicable for all employees of the Company and its subsidiaries.

3. Does the Company identify and assess potential environmental risks? Y/N

Yes, environmental risk is covered and in the Company principles that are based on ISO 14001 standards.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

The Company continues to work towards development and implementation of climate change mitigation project mainly through energy saving projects across the Company. However, we do not have any registration of CDM projects. All the Units of the Company have filed environmental compliance reports as per the requirement of applicable environmental laws.

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, etc.? Y/N. If yes, please give hyperlink for web page etc.

Covered under Board Report which forms part of this Annual Report.

6. Are the Emissions/ Waste generated by the Company within the permissible limits given by CPCB/ SPCB for the financial year being reported?

Yes

7. Number of show cause/ legal notices received from CPCB/ SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year.

During the FY 2021-22, no show cause/ legal notices was received from CPCB/ SPCB .

Principle 7: Business when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. **Is your Company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with:**

The Company is member of:

- Automotive Component Manufactures Association (ACMA)
- Society of Indian Automobile Manufacturers (SIAM)
- Associated Chamber of Commerce & Industry of India (ASSOCHAM)

2. **Have you advocated/ lobbied through above associations for the advancement or improvement of public good? Yes/ No; if yes specify the broad areas (drop box: Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy Security, Water, Food Security, Sustainable Business Principles, Others)**

No

Principle 8: Business should support inclusive growth and equitable development

1. **Does the Company have specified programmes/ initiatives/ projects in pursuit of the policy related to Principle 8? If yes details thereof.**

Yes, Company has a Corporate Social Responsibility Policy which derived its core value on various aspects as per the requirement of the Companies Act, 2013. The policy has been developed considering the requirement of the Companies Act 2013. The Company is engaged in the Vocational Skill Development in the area of fabrications, production & manufacturing through Skill Development Centres situated at Plot No. 16, Sector 20B, Faridabad, Haryana – 121007 and No. 1, Ford Suppliers Park, S.P. Koil Post, Chengalpattu (TK), Kancheepuram Dist. Tamil Nadu – 603204 and 71-72, MIDC, Satpur, Nashik – 422007, Maharashtra.

2. **Are the programmes/ projects undertaken through in-house team/ own foundation/ external NGO/ government structures/ any other organization?**

The Company has established Skill Development Centre, SDC on hub & spoke model to train and place the candidates from under privileged category and weaker section of society including candidates from North-East and other tribal areas. Training is provided on Earn & Learn concept under the flagship program i.e. National Apprenticeship Promotion Scheme of Ministry of Skill Development & Entrepreneurship, Government of India. Candidates admitted for training in 1-2 year courses are fresher and ITI pass. On completion of training duration, Apprentices have to appear in All India Trade Test conducted by Directorate General of Training for designated trades and by Sector Skill Council for optional trades. Successful candidates are awarded National Apprenticeship Certificate. We also provide training opportunity to Polytechnic Diploma and Engineering Students under National Apprenticeship Training Scheme implemented through Board of Apprenticeship Training, Ministry of Education.

During the financial year 2021-22, Your Company have trained and placed more than 1,800 candidates and in last 7 year numbers reach up to 10,000. Your Company has also signed an MoU with Government of Madhya Pradesh to engage 500 Apprentices on yearly basis and extended support under Dual System Training to Government ITI, Jobat, District Alirajpur, a tribal remote location.

Your company has signed an MoU with Department of Skill Development, Govt. of Arunachal Pradesh for providing Apprenticeship to 100 candidates and this is the first ever occasion when candidates from Arunachal Pradesh are undergoing Apprenticeship in Manufacturing, we are supporting North East and underprivileged candidates through Skill Development as priority.

We have adopted Government ITI Sonipat under Strive Project and also signed MoUs with different Government ITIs and other Technical Training Centre to support OJT through Apprenticeship and Dual System Training.

Company is supporting Shri Vishwakarma Skill University as an Industry Partner to offer B.Voc. in Tool & Die Manufacturing and Robotics & Automation. 79 candidates have completed B.Voc. out of which 12 candidates have been provided employment in the Company.

3. **Have you done any impact assessment of your initiative?**

The CSR Programms and their impacts/ outcomes are monitored and reviewed by the CSR Committee.

4. **What is your Company's direct contribution to community development projects- Amount in INR and the details of the projects undertaken.**

The Company during the FY22 spent Rs. 2.29 crore towards CSR activities i.e. Vocational Skills Promoting education, including special education and vocational skills.

5. **Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.**

Yes, the Company regularly monitors the projects to ensures that they are adopted and continued and sustain within communities beyond our interactions.

Principle 9: Business should engage with and provide value to their customers and consumers in a responsible manner

1. **What percentage of customer complaints/ consumer cases are pending as on the end of financial year.**

Nil

2. **Does the Company display product information on the product label, over and above what is mandated as per local laws? Yes/ No/ N.A. / Remarks (additional information).**

Not Applicable

3. **Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/ or anti-competitive behaviour during the last five years and pending as on end of financial year. If so, provide details thereof, in about 50 words or so.**

No

4. **Did your Company carry out any consumer survey/ consumer satisfaction trends?**

Yes, our Company carry-out the customer/ consumer survey and also have direct interaction with the mechanics and retailers for aftermarket division. It enables the Company to meet the expectations of its customers in the market and also create awareness about the product range of the Company for prospective customers and retailers. The Company obtains the customer feedback directly on regular basis to identify the areas of concerns. Accordingly, corrective measures have been planned and implemented. The Company is also planning for a cross functional survey for business partners in the aftermarket to take feedback regarding quality of products, quality of services and timely supplies.